

usually tends to be better, as most Indian consumers prefer to have a fixed budget for big events like engagement/wedding.”

In its recent earnings call, the country's largest organised jewellery player by revenue, Titan Company, acknowledged that the “meteoric” rise in gold prices initially led to customer hesitation, especially during the rapid run-up. However, once prices stayed elevated and did not correct meaningfully, big-ticket and affluent buyers returned during the festive season.

On the financing side, elevated gold prices have turned favourable for gold loan companies. For instance, the consolidated PAT of Muthoot Finance, India's largest gold loan company by loan book and branch network, soared 74.26% YoY to ₹4,385.90 crore in the first half of FY26. The company's consolidated loan assets under management grew 42% YoY to ₹1.48 lakh crore during the period.

THE IMPACT

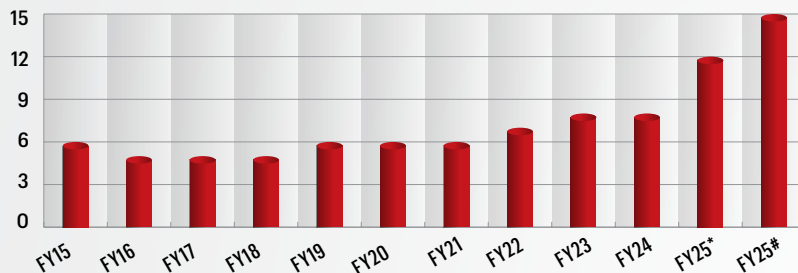
The rally in precious metals is worrying for India, among the world's biggest importers. The Ministry of Commerce and Industry's trade data shows that the unit price of gold imports rose 31% from April to October 2025, which offset the dip in volumes. Unit prices of silver rose nearly 43%.

Even if the volume of imports has dipped in 2025, the sharp rise in bullion prices drives up the overall value of imports in India, as explained earlier. Remember that India is heavily dependent on imports for petroleum products that are essential for the economy. So, discretionary purchases of gold and silver eat up precious forex that could be used for other necessities.

Deveya Gaglani, Senior Re-

IN RESERVE

• The share of gold in forex reserves more than doubled to 15% as of November 2025 from nearly 6% in FY15



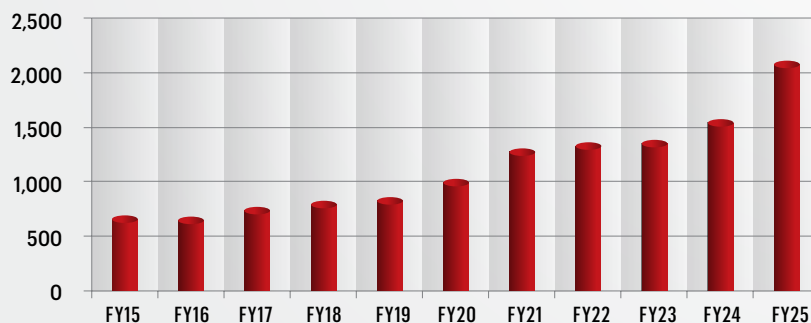
■ SHARE OF GOLD IN FOREX RESERVES (%)

NOTE *AS OF MARCH 2025; #AS OF SEPTEMBER 2025 **SOURCE** BT RESEARCH, CMIE ECONOMIC OUTLOOK

INSATIABLE DEMAND

• The value of Indian households' gold holdings has more than tripled in the past 10 years

IN \$ BILLION



SOURCE KOTAK INSTITUTIONAL EQUITIES

search Analyst-Commodities, Axis Securities, says, “This higher import bill widens the current account deficit (CAD), increasing India's external financing needs. As more dollars are required to settle these costlier imports, demand for the US dollar rises, putting downward pressure on the Indian rupee.”

This dynamic was evident last year, when the rally in gold prices indirectly contributed to the dollar appreciating by almost 5% against the rupee, which breached a record low of 91 per dollar in mid-December. “A weak rupee due to higher import costs makes other imported items costlier, especially